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July 25, 2018

**BY E-MAIL  
AND FIRST CLASS MAIL**

Ms. Rachel E. Dickon  
Acting Secretary  
Federal Maritime Commission  
Room 1046  
800 North Capitol Street, NW  
Washington, DC 20573

**RE:** Docket No. 15-11  
Igor Ovchinnikov, et al. v. Michael Hitrinov, et al.

Dear Ms. Dickon:

Enclosed for filing in the above-captioned matter are an original true copy and five (5) additional copies of:

1. Respondents' Conditional Response to Complainants' Unauthorized Sur-Reply

If you have any questions, please do not hesitate to contact me.

Best regards,

  
Eric C Jeffrey  
Counsel

**FEDERAL MARITIME COMMISSION**

**WASHINGTON, D.C.**

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**DOCKET NO. 15-11**

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**IGOR OVCHINNIKOV, ET AL**

**v.**

**MICHAEL HITRINOV ET AL**

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Consolidated With  
**DOCKET NO. 1953(I)**

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**KAIRAT NURGAZINOV, ET AL**

**v.**

**MICHAEL HITRINOV ET AL**

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**RESPONDENTS' CONDITIONAL RESPONSE TO  
COMPLAINANTS' UNAUTHORIZED SUR-REPLY**

In *Baltic Auto Shipping v. Hitrinov*, 34 SRR 944 (FMC 2017), the Commission *sua sponte* struck a purported “status report” filed by counsel in this (and that) matter (“Counsel”), on the grounds that it was not actually a status report, but rather, a prohibited sur-reply. Notwithstanding that rejection, and the Ethical Complaint against Counsel already pending on Exceptions before the Commission, Counsel continues to lob in arguments cast as so-called status reports, most recently in this Docket on July 19, 2018.

Counsel’s current attempt to continue arguing the case well after the completion of briefing should be rejected for the same reason the Commission rejected Counsel’s similar filing

in *Baltic*. It might also be considered by the Commission in its review of the Ethical Exceptions.<sup>1</sup>

The Commission could, and should, stop here. If, however, the Commission decides not to strike Counsel's last minute effort to delay the inevitable, it should also consider this response.

Apart from the unseemly spectacle of Counsel attacking his own former client/employer, and in particular about events that occurred while Counsel was advising Mr. Kapustin, Counsel's filing is remarkable only for its self-contradiction and irrelevance.

Counsel simultaneously says (i) Mr. Kapustin is a liar and a cheat, and is indeed pleading guilty to criminal fraud, and (ii) the Commission should wait for, consider, and give weight to whatever Mr. Kapustin may, or may not, say at some unspecified time. This is pure cognitive dissonance. Counsel's request that the Commission defer decision until unknown and unknowable information from a witness whom Counsel himself proclaims as an unreliable, "pathological liar," makes absolutely no sense.<sup>2</sup>

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<sup>1</sup> Respondents also continue to question on ethical grounds the express coordination between Counsel and counsel for the New Jersey plaintiffs. As previously discussed, Complainants here and plaintiffs there have directly-conflicting interests. As the Presiding Officer explained, there cannot be any double recovery against Empire for the exact same cars in the two proceedings. Thus, should Ms. Tempkin prevail in New Jersey, any award of damages for cars also involved in this proceeding would reduce or eliminate any possible reparations here, and any reparations here would reduce or eliminate possible recovery by Ms. Tempkin's alleged clients. This raises the very real question whether either set of clients is being loyally represented in these adverse proceedings.

<sup>2</sup> Counsel has, in this most recent filing, softened his statements about Mr. Kapustin, presumably to reduce the self-contradiction, but his past assertions leave no doubt that he considers Mr. Kapustin to be both mentally incompetent and entirely unreliable as a witness. We quote here just a few of his more pungent comments on that subject.

Kapustin's "random and disorganized filings, alternately asserting contentions directly oppositional to one another reveals that he is incompetent to take any part in the litigation of this matter." Complainants' 8/19/16 Response to the Motion to Strike and Seal [Document No. 94]

Even if the Commission were to consider Counsel's request, there is no showing that anything Mr. Kapustin might have to say in the criminal case would be relevant to *this proceeding*. Counsel's "Status Report" is also riddled with false or misleading statements.

The essence of Counsel's argument is that Mr. Kapustin has entered into a plea agreement under which he will cooperate with the criminal prosecutors. But directly to the contrary, there is nothing in the plea agreement obligating Mr. Kapustin to cooperate with the prosecution, other than as to his own crimes covered by the plea, and the agreement specifically states that "[n]o additional promises, agreements, or conditions have been made or will be made unless set forth in writing and signed by the parties." Moreover, even assuming Mr. Kapustin were to cooperate, there is absolutely no suggestion that he will cooperate about this or any other

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"Evidence of Kapustin's unbalanced mental state is abundantly provided by . . . ." Complainants' 8/19/16 Response to the Motion to Strike and Seal [Document No. 94]

"Kapustin's latest motion is an incoherent rant on a jumble of issues, accusations, and deluded fantasies which abundantly reveal Kapustin's mental instability. Accordingly, and before Kapustin is permitted to in any way intervene in this matter, it is respectfully requested that Kapustin be ordered to undergo a competency hearing to ascertain if he has the mental competence to intervene or take part in this action." Complainants' 8/19/16 Response to the Motion to Strike and Seal [Document No. 94]

"Mr. Kapustin has been found by a competent Court of parallel jurisdiction, to wit: the United States District Court for the District of New Jersey, to be master criminal, a fraud, and a pathological liar." Complainants' 8/15/16 Response to the Motion to Intervene [Document No. 88]

"[Mr.] Kapustin was vilified by the Hon. Judge Noel L. Hillman as being a fraud, a liar, a cheat, and a "master criminal", and is thus completely lacking in credibility as to any and all representations . . . ." Complainants' 8/15/16 Response to the Motion to Intervene [Document No. 88]

We could easily add many more statements by Counsel of similar ilk and import.

civil proceedings, or what he might say if he did. Counsel is simply asking the Commission to buy the proverbial “pig in a poke.”<sup>3</sup>

Counsel next suggests that material in other proceedings indicates that future information may be important to the Commission’s determination in this proceeding. Little could be further from the truth.

Counsel points to the statement in the Information that Mr. Kapustin “represented that he could produce these cars, once purchased, at a warehouse in Kotka Finland,” and claims that this means that Respondents will not dispute that Kapustin made public via the Internet that he was selling cars for export to a warehouse in Kotka, Finland. There are multiple layers of deception in this statement. First, the Information does *not* say where these representations were made –

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<sup>3</sup> Counsel also makes the confusing, and highly speculative, assertion that something about Respondents might turn up in discovery in the New Jersey civil proceedings. Oddly, he suggests that documents produced by Respondents in this case may bear on Respondents’ arrangements with the Empire Defendants, who are, in fact the Respondents herein. One must wonder what the Commission might thereby learn about Respondents’ arrangements with themselves.

More fundamentally, there is no objective reason to believe that there will be any discovery against Respondents in the civil case that would meet the standards of FMC Rule 1. See Attachment A, Affirmation of Jon Werner. As there explained, Counsel “misspeaks” when he says that the in-person conference will address discovery. It will not. Moreover, there is a pending motion to dismiss Empire/Hitrinov from the case for lack of subject matter jurisdiction and personal jurisdiction, and as a result, there has not been any discovery conducted with respect to Empire/Hitrinov. There is no schedule for discovery, and there will be no discovery taken unless the motion to dismiss is denied.

Further, Counsel has already received, and used freely in this case (sometimes in violation of a protective order), ample discovery in connection with Mr. Kapustin’s complaint against Respondents in the Eastern District of New York, in which Counsel represented Mr. Kapustin.

In any event, no amount of discovery regarding Empire/Hitrinov’s dealings with Kapustin would undermine the Presiding Officer’s finding that the Complainants herein were not the shippers or consignees of the cars, and were not part of any transportation contract with Empire.

In sum, the Commission has heard and rejected Counsel’s claim about discovery in the DNJ proceeding multiple times. There is nothing new that would warrant any change now.

whether on the company websites, in person, or otherwise. Second, there is absolutely nothing in the Information suggesting that Respondents were aware of the contents of any such websites.

Most importantly, Counsel is simply trying to run a shell game on the Commission. As Counsel well knows, there are *two different* warehouses in Kotka. The warehouse described in the Information is the warehouse owned and operated by *Global Cargo Oy*, a company owned/controlled by Mr. Kapustin, and the place where *Mr. Kapustin delivered vehicles* to purchasers. The other warehouse, adjacent to Global Cargo Oy, is that of *CarCont*, an independent warehouse where, at Mr. Kapustin's direction, cars *were released to, and only to, Global Cargo Oy*. No vehicles were ever released from CarCont to persons other than designated representatives of Global Cargo Oy, and indeed, Respondents had no information as to the name/identity of the purchasers of any vehicles, including those involved here.<sup>4</sup>

Counsel's reference to a pair of emails from Mr. Kapustin to Mr. Werner is likewise of little moment. As an initial matter, these email are all about the *other, judicial proceedings*, and say nothing relevant to *this proceeding* before the FMC. Further, these emails, directed to Empire's counsel in those matters, are entirely in Russian (see originals at Attachment A,

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<sup>4</sup> Counsel also points to certain differences between the Information and the Initial Decision herein, which he falsely claims "conflict materially." There is absolutely no discrepancy between the two, much less a material conflict, as the two proceedings have different purposes and different relevant facts.

- Counsel says that the Information does not discuss the loan from Empire to Mr. Kapustin, while the ID does. That loan, however, has no import to the Government's criminal case, so would not logically be discussed therein. Moreover, while mentioned by the ID, the facts regarding the loan are entirely irrelevant to, and are not relied on in, the Presiding Officer's decision.
- The repeated claim about public knowledge has been addressed above, and in any event has no relevance to the resolution of *this* proceeding.

Exhibits 1 and 2). Mr. Werner does not know Russian, and neither read these emails nor forwarded them to Mr. Hitrinov.

Turning to what the emails say, at least according to Counsel, there is nothing in them that should encourage the Commission to want more.<sup>5</sup> The first email, which Counsel acknowledges was received pursuant to his ethically unholy alliance with Ms. Tempkin and Ms. Brown,<sup>6</sup> is from Mr. Kapustin to Mr. Werner and allegedly says “One of the letters which was prepared by Michael Hitrinov together with a translation for me.” Curiously, the email as received by Mr. Werner, apart from being in Russian, had no attachment. There is thus absolutely no way to know what this email means, if anything. And in any event, as discussed above, statements by Mr. Kapustin are, in Counsel’s own estimation, entirely unreliable and the product of a mentally incompetent witness.

The second email is also in Russian and also from Mr. Kapustin to Mr. Werner. It is again not about this proceeding, but rather, entirely about the New Jersey Civil case. Taking the translation at face value, it again is simply a desperate and self-serving attempt by an unreliable witness to shift blame to others, as he has already attempted countless times in connection with the cars at issue. See Attachment 3, an affidavit from Mr. Werner stating that he never offered Mr. Kapustin anything, much less \$125,000, to make false statements; nor did he come up with any story about \$12,000,000, a claim he never heard until Counsel filed the instant “Status Report.”

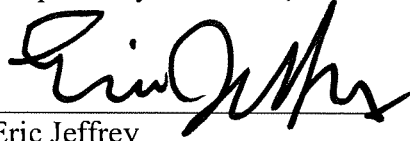
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<sup>5</sup> Counsel’s sole purpose for including these emails seems to be his shopworn canard that Respondents/counsel for Respondents prepared legal papers for Mr. Kapustin, a question that has already been asked and answered.

<sup>6</sup> We note that Mr. Kapustin’s transmission of this and other emails to Mr. Werner waived any possible claim to attorney-client privilege, as did the sending of such emails from Ms. Tempkin or Ms. Brown to Counsel.

In sum, there has been absolutely no change in status of this case as it applies to Respondents or their counsel. Counsel's purported "Status Report" is on its face an unauthorized sur-reply, and an ineffective one at that.

Respectfully submitted,

A handwritten signature in black ink, appearing to read "Eric Jeffrey", written over a horizontal line.

Eric Jeffrey

**Nixon Peabody LLP**

799 9<sup>th</sup> Street, N.W., Suite 500

Washington, D.C. 20001

202-585-8000

Dated: July 25, 2018

**CERTIFICATE OF SERVICE**

I hereby certify that I have this day served the foregoing Respondents' Conditional Response to Complainants' Unauthorized Sur-reply by U.S. Mail, First-Class, Postage Prepaid and E-Mail to the following:

Marcus A. Nussbaum, Esq.  
P.O. Box 245599  
Brooklyn, NY 11224

Date: July 25, 2018

  
Eric Jeffrey  
Counsel for Respondents

## **ATTACHMENT A**

**FEDERAL MARITIME COMMISSION**

**WASHINGTON, D.C.**

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**DOCKET NO. 15-11**

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**IGOR OVCHINNIKOV, ET AL**

**v.**

**MICHAEL HITRINOV ET AL**

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Consolidated With

**DOCKET NO. 1953(I)**

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**KAIRAT NURGAZINOV, ET AL**

**v.**

**MICHAEL HITRINOV ET AL**

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**AFFIRMATION OF JON WERNER**

Jon Werner, affirms the following to be true under penalties of perjury under 28 U.S.C. § 1746, and says:

1. I am a member of the law firm of Lyons & Flood, LLP which represents Respondents Michael Hitrinov and Empire United Lines Co., Inc. in the matters captioned as *Global Auto, Inc., G Auto Sales, Inc., and Effect Auto Sales, Inc. v. Michael Hitrinov et al.*, 13 Civ. 2479 (SLT) (RER), and *Empire United Lines Co., Inc. and Michael Hitrinov v. SK Imports, Inc. d/b/a Global Cars, Sergey Kapustin, Irina Kapustina, and Michael Goloverya*, 14 Civ. 2566 (SLT) (RER), which are pending in the United States District Court for the Eastern District of New York (the “EDNY proceedings”), as well as in the matter captioned as *Akishev et al. v.*

*Kapustin et al.*, 13 Civ. 7152 (NLH) (AMD), which is pending in the United States District Court for the District of New Jersey (the “DNJ proceeding”). I have personal knowledge concerning the matters which I state in this affirmation.

2. I provide this affirmation to correct several misstatements, and to the extent necessary to refute certain accusations, made by Marcus Nussabum, counsel for the Complainants in a July 19, 2018 “Status Report” he submitted in connection with these proceedings before the Federal Maritime Commission. *See* Status Report at pp. 1-2.

3. First, it is incorrect to describe Sergey Kapustin as “a defendant in an ongoing Federal litigation in the U.S. District Court for the District of New Jersey...” *See* Status Report at pp. 1-2. Mr. Kapustin was a defendant in the DNJ proceeding, but as of September 11, 2015, a Final Default Judgment was entered against him in the DNJ proceeding, from which no appeal has been taken, and therefore since that time the claims against Mr. Kapustin have been fully adjudicated and he has not been a party in those proceedings for nearly three years now.

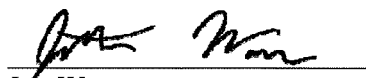
4. Second, the “in-person status conference scheduled for August 8, 2018” in the DNJ proceeding (Status Report at p. 2, fn. 2) relates to the scheduling of a traverse hearing in connection with a pending motion to dismiss the Respondents from the DNJ proceeding for lack of subject matter jurisdiction and lack of personal jurisdiction. There is no schedule for discovery in the DNJ proceeding and there will be no discovery taken in that proceeding unless the pending motion to dismiss is denied. The motion cannot be resolved until a traverse hearing is conducted and there is no date set at this time for a traverse hearing. To the extent that counsel for the Complainants seeks to suggest to the Commission that additional documents or testimony may be reasonably anticipated to be forthcoming from the Respondents in connection with the DNJ proceeding, this is false.

5. Moreover, from 2013 to 2015, Mr. Nussbaum, by virtue of his status as Mr. Kapustin's corporate counsel participated in full discovery from the Respondents in the EDNY proceedings, including discovery relating to the investment agreement and financial arrangements between Respondents and Mr. Kapustin's companies, as well as relating to the shipments, storage, and disposal of the Complainants' cars at issue in this matter.

6. Third, while I did, in fact, receive two emails from Mr. Kapustin as described in the Status Report (see true and accurate copies of these emails as received by the undersigned attached hereto as Exhibits 1 and 2), I never understood what the emails were saying until seeing the translation (which I presume is accurate) provided in the Status Report. By way of explanation, over the years Mr. Kapustin (who was not formally represented by counsel) had made something of a habit of sending unsolicited messages to various counsel, including the undersigned, in Russian. I do not read or understand the Russian language, so when I received these two emails I did not send them to anyone or respond to them. Instead, I simply ignored them. Having read the translation of these emails, I can state for the record that there is no truth to any of Mr. Kapustin's statements in those emails. I have never offered Mr. Kapustin anything, much less \$125,000, to make false statements in any case; nor did I come up with any story about Mr. Kapustin stealing \$12 million as alluded to in one of the emails. In fact, I had never heard about such a claim until I read about same in the Status Report.

The foregoing is true and correct to the best of my knowledge under penalties of perjury under 28 U.S.C. § 1746.

Signed on July 24, 2018

  
Jon Werner

# EXHIBIT 1

**From:** Sergey Kapustin <skapustin@yahoo.com>  
**Sent:** Tuesday, February 20, 2018 6:18 PM  
**To:** Jon Werner; anna@brownlegalconsulting.com  
**Subject:** Украденные авто

Уважаемый Джон и его всеми известный комбинатор Миша Хитринов , вы обязаны вернуть автомобили украденные у клиентов , а также раскозать перед судом как вы придумывали историю , о том , что у капустина 12 000 000\$ , также предлагались мне 125 000\$ , для того , что бы я принял вашу сторону , и писал тот бред под вашу диктовку и отправлял в суд , все , что произошло это ваших рук дело , и что вы сегодня поднимаете выдуманный суд против меня . Если Браун и тёмкин понадобитца моя помощ , я не откажу им не в чем , только буду помогать и довать все правдивые показания , так же привлеку массу свидетелей , которых миша склонял на свою сторону , обещав деньги , но как всегда никому не дал . Я могу открыто сказать , что Миша устроил эти проблемы . Все письма для меня составлял Миша хитринов .  
Сергей капустин .

# EXHIBIT 2

**From:** Sergey Kapustin <skapustin@yahoo.com>  
**Sent:** Tuesday, February 20, 2018 6:22 PM  
**To:** Jon Werner; anna@brownlegalconsulting.com  
**Subject:** Письмо  
**Attachments:** IMG\_2336.JPG; Untitled attachment 00557.txt; IMG\_2337.JPG; Untitled attachment 00560.txt; IMG\_2338.JPG; Untitled attachment 00563.txt; IMG\_2339.JPG; Untitled attachment 00566.txt; IMG\_2341.JPG; Untitled attachment 00569.txt; IMG\_2342.JPG; Untitled attachment 00572.txt; IMG\_2343.JPG; Untitled attachment 00575.txt

Одно из писем которое готовил Миша Хитринов, с переводом для меня .